5.3

Profit and Loss

Cambridge IGCSE Business

- What is Profit?
- Why Profit Matters
- Gross vs Net Profit
- Reading a Statement
- Calculations
- Making Decisions

Profit and Loss

The statement of profit or loss shows whether a business earned more revenue than it spent. Understanding gross profit, net profit and how to calculate both is a core exam skill.

- Explain what profit is and why it matters to businesses
- Distinguish between gross profit and net profit
- Make calculations based on a statement of profit or loss
- Make decisions based on simple profit and loss data

What is Profit and Why It Matters

Revenue · Costs · The reward for risk-taking

What is Profit and Why It Matters

Profit is what remains when a business's total revenue exceeds its total costs. It is the primary financial objective of most private sector businesses.

REVENUE
All money received from customers

−

TOTAL COSTS
All money spent running the business

=

PROFIT
The surplus

Why Profit Is Important to Private Sector Businesses

Reward for Risk
Profit is the financial reward entrepreneurs rec eive for risking their m oney and time to set up and run a business

Source of Finance
Retained profit is the c heapest source of financ e — reinvested into the business to fund growth without interest costs

Measure of Success
Profit shows whether a b usiness is generating mo re value than it costs t o run — used to compare performance year on year

Attract Investors
Profitable businesses at tract shareholders and l enders — higher profit s ignals lower risk and be tter potential returns

Profit vs Loss vs Break-Even:

Profit	Revenue > Total Costs — business making a surplus
Break-even	Revenue = Total Costs — no profit, no loss
Loss	Revenue < Total Costs — business is losing money

Real business examples — profit in context:

Business	Revenue	Net Profit	What owners do with it
Tesco PLC (2024)	£68bn	**£1.0bn**	Dividends to shareholders + reinvest in stores
Small bakery	£120,000	**£21,000**	Owner's salary + reinvest in new equipment

Exam tip: Profit is REVENUE minus COSTS. Not all revenue is profit. A business with £1m revenue and £950,000 costs makes only £50,000 profit. Always work from the numbers.

The Statement of Profit or Loss

Reading · Calculating · Making decisions

Gross Profit vs Net Profit – The Key Distinction

The statement of profit or loss has two key profit figures. Gross profit tells you how well the core trading activity is performing. Net profit tells you how much is left after ALL costs.

Gross Profit vs Net Profit — Key Distinction

GROSS PROFIT

Formula:	Revenue – Cost of Sales (direct costs only)
Includes:	Revenue minus raw materials, stock, direct labour
Example:	£95,000 – £38,000 = £57,000 gross profit

Does NOT deduct rent, wages, marketing or overheads

NET PROFIT (Profit for the Year)

Formula:	Gross Profit – Total Expenses (all overheads)
Includes:	All costs: wages, rent, marketing, depreciation
Example:	£57,000 – £39,600 = £17,400 net profit

The "true" profit — what owners actually earn

Direct costs (Cost of Sales) vs Indirect costs (Expenses / Overheads):

Direct Costs (Cost of Sales)

- Costs that vary directly with output — rise when more is produced
- Raw materials and ingredients used in production
- Direct labour — workers on the production line
- Packaging materials for the finished product
- Example: a bakery's flour, butter and eggs are direct costs

Indirect Costs (Expenses)

- Fixed overheads that must be paid regardless of output level
- Rent, rates and property insurance
- Manager salaries and administration staff
- Marketing, advertising and IT costs
- Example: the bakery's rent is the same whether it bakes 10 or 10,000 loaves

Exam tip: Cost of Sales = DIRECT costs only (raw materials, direct labour). Expenses = INDIRECT costs (rent, wages, marketing). A high gross profit but low net profit means overheads are too high.

Reading a Statement of Profit or Loss – Worked Example

In the exam you will be given financial data and asked to calculate gross profit, net profit or make a business decision. Always show your formula and working clearly.

Statement of Profit or Loss

Riverside Café — Year ending 31 Dec 2025

Item	£	
Revenue (Sales)	95,000	*All money receive*
Cost of Sales	(38,000)	*Direct costs: food*
GROSS PROFIT	57,000	*Revenue minus C*
Expenses:		*Indirect costs — c*
Wages and salaries	(18,000)	
Rent and rates	(14,400)	
Utilities	(2,400)	
Marketing	(1,800)	
Depreciation	(3,000)	
Total Expenses	(39,600)	*Sum of all overhe*
PROFIT (Net Profit)	17,400	*Gross Profit minu*

Gross Profit = Revenue − Cost of Sales · Net Profit = Gross Profit − Expenses

Step-by-step workings:

Step 1 Gross Profit = Revenue − Cost of Sales

£95,000 − £38,000 = £57,000

Step 2 Total Expenses = Sum of all overheads

£18,000+£14,400+£2,400+£1,800+£3,000 = £39,600

Step 3 Net Profit = Gross Profit − Total Expenses

£57,000 − £39,600 = £17,400

Step 4 Gross Profit Margin = GP ÷ Revenue × 100

£57,000 ÷ £95,000 × 100 = 60%

Step 5 Net Profit Margin = NP ÷ Revenue × 100

£17,400 ÷ £95,000 × 100 = 18.3%

Exam tip: Gross Profit = Revenue − Cost of Sales. Net Profit = Gross Profit − Expenses. The margin formulas divide profit by revenue then multiply by 100. Learn all four.

Making Decisions from a Statement of Profit or Loss

A statement of profit or loss is not just a record — it is a decision-making tool. Managers use it to identify problems, set targets and plan improvements.

Comparing two years — Riverside Café:

	2024	2025	Change	Interpretation
Revenue	£82,000	£95,000	▲ **£13,000**	Sales growing — good demand for the café
Cost of Sales	£34,000	£38,000	▲ **£4,000**	Rose less than revenue — efficiency improving
Gross Profit	£48,000	£57,000	▲ **£9,000**	Core trading stronger — positive trend
Total Expenses	£36,000	£39,600	▲ **£3,600**	Overheads rising — check what drove this
Net Profit	£12,000	£17,400	▲ **£5,400**	Profit up 45% — strong year overall
Net Profit Margin	14.6%	18.3%	▲ **3.7pp**	Efficiency improving — keeping more of each £1 earned

What decisions can a manager make from this data?

- **Prices:** Revenue grew faster than cost of sales — could the business raise prices further without losing customers?
- **Costs:** Expenses rose by £3,600 — identify which overhead increased most and investigate whether it can be reduced
- **Growth:** Strong profit growth suggests the business could support investment in expansion or new equipment next year
- **Risk:** Net profit margin of 18.3% is healthy but if revenue fell by 20% the business might make a loss — plan for this

Exam tip: When asked to 'make a decision', use the data to justify it. Never just say 'the profit went up'. Say 'the net profit margin rose from 14.6% to 18.3% suggesting the business is becoming more efficient'.

Key Revision Checklist – 5.3 Profit and Loss

What is profit	Revenue – Total Costs. What remains after all costs are deducted. Primary objective of private sector businesses.
Why profit matters	Reward for risk · source of finance (retained profit) · measure of success · attracts investors and lenders
Gross Profit	Revenue – Cost of Sales (DIRECT costs only: raw materials, direct labour, packaging)
Net Profit	Gross Profit – Expenses (ALL indirect costs: wages, rent, marketing, depreciation, utilities)
Direct costs	Vary with output level — raw materials, direct labour, packaging. Rise when production rises.
Indirect costs	Fixed overheads regardless of output — rent, admin wages, marketing. Same whether you produce 1 or 1,000.
GP Margin	(Gross Profit ÷ Revenue) × 100. Shows % of each £1 of revenue left after direct costs.
Net Margin	(Net Profit ÷ Revenue) × 100. Shows % of each £1 of revenue left after ALL costs.
Making decisions	Compare year-on-year. Falling margin = costs rising faster than revenue. Rising margin = increasing efficiency.